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Swiftonomics: The Impact of Taylor Swift's *Eras Tour*

[*Intro Music*]

DEVIN: Hey listeners, welcome back to *Artonomics*, where the creative and economic worlds collide! I'm your host, Devin, and as always, I'm joined by my co-host, Hans. Today, we're back in the studio, ready to talk about Hans's favorite pop star: Taylor Swift!

HANS: Well, don't act like you aren't a huge "Swiftie," too! Along with being a phenomenal singer and songwriter, Swift has had a heavy macroeconomic impact with the *Eras Tour*, which we'll dive into in this episode.

DEVIN: We actually went to her performance at SoFi Stadium and spent quite a bit on the experience. Hans, do you remember how much the total came to?

HANS: Oh, my... the purchasing process... the crowds... it was utter chaos. From ticket hunting, planning, travel, hotel stays, and miscellaneous costs, the total came to around $1,500 per person.

DEVIN: Sounds about right. Interestingly, our situation seems common among many Swifties across the country.

[*Sound cue*]

DEVIN: While the *Eras Tour* did financially hit some fans, it was certainly beneficial to the economy. Can you believe that costs per concert goer, over 53 concerts, added an estimated $4.3 BILLION to U.S Gross Domestic Product (Ponsot, 2023)?!

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HANS: That's insane! Taylor Swift and her team deserve a big thanks for their economic contribution. Fortunately, we have the privilege to hear from the woman behind the tour. Everyone, give it up for our first guest, Constance Goldman!

CONSTANCE: Hello, everyone! Thank you for having me on today. Never in my "Wildest Dreams" did I think I'd have the opportunity to talk on *Artonomics*. You guys are combining two of my favorite topics!



A view of "The Official Taylor Swift | The Eras Tour Book" on display.

(Photo by Dave Kotinsky/Getty Images)

DEVIN: Ms. Goldman is the Executive Director of Tour Operations and Economic Strategy, playing a critical role in Swift's historic tour. Whether it's organizing concert logistics or staying up till dawn with the venue teams, Ms. Goldman is the "Mastermind" behind the madness.

HANS: Again, we're so glad to have you with us. Before we proceed, let's bring in our second guest! You've heard his name in your Econ 101 class, and now he's here with us today: Mr. Alfred Marshall, in the flesh! His theories have fundamentally shifted modern economics and are the foundation for any economics course you'll take. Now, his concepts of derived demand, elasticity, and consumer surplus will show us just how influential the *Eras Tour* has been on U.S. industries.

MARSHALL: Pleased to be here, Hans. Never once did I imagine my theories could be applied to a pop music scene of this scale!

DEVIN: Now that we've got our stars together on one line, let's get started!

MARSHALL: Let's *Swiftly* dive into this situation, shall we? First, we must understand the law of derived demand. In simple terms, it is when the demand for one good or service increases due to the demand

for another good or service. For example, let's picture buying an *Eras Tour* ticket.

The demand for the ticket directly increases the demand for its complementary products, such as merchandise. Even transportation purchases increase when the concert is far from home.

CONSTANCE: Exactly, Mr. Marshall. Your example is the reality that many Swifties encounter! When fans travel far and wide, they look for lodgings to accommodate them. The *Eras Tour*, in particular, strengthened the hospitality industry. Across the United States, we saw hotels near stadiums booked to capacity, creating over $200 million in hotel revenue. In Chicago alone, room occupancy rates reached almost 97% during Swift's June 2023 performances (Hoff et al., 2025).

HANS: The hospitality industry certainly suffered during the COVID-19 pandemic, so I'm sure this boost was greatly appreciated. In fact, the Federal Reserve of Minneapolis noted in the July 2023 *Beige Book* that May 2023 was the strongest month for hotel revenue in Philadelphia since the pandemic, largely driven by an influx of guests arriving for Taylor Swift's concerts in the city (Federal Reserve Bank of Minneapolis, 2023).

MARSHALL: It seems Ms. Swift is following my theories, "All Too Well."

CONSTANCE: Derived demand was also seen in the labor market, with tour-related purchases increasing the demand for labor, or in other words, employment. As an example, Swift's Los Angeles concert increased area employment by 3,300 workers, with local earnings rising by $160 million (California Center for Jobs and the Economy, 2023).

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MARSHALL: This is a fantastic example of derived demand! When demand for the final good—in this case, the Taylor Swift concert experience—increases, so will the demand for the labor that makes her tour a reality. I'm amazed by Ms. Swift's influence. It's not every day that a tour's ticket demand sells out hotels and creates thousands of jobs.



The Beige Book: Summary of Commentary on Current Economic Conditions by Federal Reserve District.

HANS: Ha-ha! Ms. Swift has got our favorite economist hooked. What do we see for smaller businesses? Do they get a boost, too?

CONSTANCE: You bet! Businesses from all over the nation capitalize on the influx of Swifties, even when Swift isn't remotely near! In fact, while she was touring, a small-town Ohio skating rink hosted a "Swiftie Night" where over 300 fans flocked to purchase Swift-themed merch and glide around the rink (PCBB, 2024).

DEVIN: Hans, plan a trip to Ohio, right after this episode.

HANS: [*Laughing*] One step ahead, already searching for tickets!

DEVIN: Now, a quick word from our sponsor.

[*Sound cue*]

HANS: All right, guys, we are back! Constance just showed us how one concert can boost jobs and the hospitality industry across an entire city. But here's what got Devin and me excited: all that spending doesn't just stop at the first transaction. It keeps cycling through the economy, so we decided to measure exactly how far a single *Eras Tour* dollar travels.

DEVIN: That's right! We measured the total economic impact of that derived demand using the spending multiplier—or, as we like to call it, the "Swift Lift." This spending multiplier shows how initial spending, such as concert-ticket purchases, keeps moving throughout the economy. This first wave of cash gets recycled by businesses paying their employees, then employees spending at local shops, and so on and so forth.

HANS: In fact, Devin and I have a special treat for you all. We got so excited about derived demand that we decided to take things into our own hands.

DEVIN: Here's how we did it. The multiplier effect of spending is found by dividing the total GDP impact by the initial, or direct, spending. When the *Eras Tour* played in Kansas City, there was direct spending of $47.8 million with an impact of $72.7 million (Economic Development Corporation for Kansas City, 2023). In Cincinnati, direct spending was estimated to be $48 million, and the total impact was estimated to be $92 million (*VisitCincy, 2023*).

HANS: Averaging the multipliers of these two cities, 1.92 and 1.52, respectively, we arrive at a multiplier of 1.72[1]. A spending multiplier above one indicates that, for every dollar spent on the *Eras Tour*, the economic impact exceeds that initial spending.

DEVIN: Now, this is based on just two cities; thus, the national figure could vary. Still, it reinforces how powerful *Eras Tour* spending was and how it rippled through local economies.



Taylor Swift fans gather prior to the pop singer's concert in front of the Veltins Arena on July 17, 2024 in Gelsenkirchen, Germany.

(Photo by Hesham Elsherif/Getty Images)

HANS: The demand for "anything Taylor Swift" not only proves Marshall's theory of derived demand, but is a perfect segue into another one of his concepts.

[*Sound cue*]

DEVIN: Consumer surplus! Marshall, take it away.

MARSHALL: All right, Devin, let's get into it! We've seen how demand for Swift's concerts drove demand across entire industries, but why were fans willing to spend so much in the first place? That is where the consumer surplus kicks in. Consumer surplus is the extra satisfaction a consumer receives when they purchase a good or service at a price lower than the maximum they'd be willing to pay.

DEVIN: So, if I purchased *1989* on vinyl for $30, but I would've been willing to pay $70, then my consumer surplus is $40?

[1] We conducted a quantitative economic analysis determining total direct spending and total GDP impact using statistics taken from the Economic Development Corporation of Kansas City and the Cincinnati Regional Chamber's Center for Research and Data.



Taylor Swift fans, also known as "Swifties," take a photo of their tickets purchased for the show.

(Photo by Asanka Ratnayake/Getty Images)

CONSTANCE: That's right! In fact, Swifties spent anywhere from $1,300 to $2,000 per show. Despite these high costs, 91 percent said they'd attend another concert (*QuestionPro, 2023*). This may indicate their willingness to pay an amount well above what they actually paid, which is exactly what consumer surplus measures.

HANS: That hits close to home. Attending the Los Angeles stop was one of the best nights of my life. The cost, though, *cut deep*. Thankfully, seeing Swift herself perform "Enchanted" on stage made up for it!

DEVIN: I'm sure it did, Hans. I remember how emotional you got. The poor guy was tearing up.

HANS: I was definitely not! Anyway, the bottom line is that the *Eras Tour* resulted in lots of satisfied Swifties.

CONSTANCE: That it did! We're proud to have achieved a Net Promoter Score of 68. It means that even though the tour cost was higher than planned, the result was an experience so loved that it earned customer satisfaction scores comparable to the top three most-respected brands in the country: Costco, USAA, and Southwest Airlines, tying with Apple and Ritz-Carlton for fourth place (*QuestionPro, 2023*).

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MARSHALL: This tour reminds me of another one of my concepts—price elasticity of demand. Elasticity measures the response of the quantity demanded to a change in its price. Mathematically, it's the percentage change in quantity demanded divided by the percentage change in price. Therefore, high elasticity values, indicated by an absolute value above one, mean that quantity demanded changes significantly if prices rise. Similarly, an absolute value below one represents *inelasticity*: when consumers are less sensitive to changes in prices and are willing to pay more without a significant decrease in demand.

HANS: Once again, Devin and I got a bit too eager and made another calculation. Using secondary resale market data, we found that average

resale prices were up 2,321% from the *Reputation Tour* to the *Eras Tour*. Using that as our percent change in price, and comparing it to the change in attendance, which is our quantity demanded, we found that the price elasticity of demand for *Eras Tour* tickets was...

DEVIN: 0.108![2] That's *extremely* inelastic. Like, erring close to zero elasticity! It perfectly aligns with what we've observed: passionate fans like Hans who are willing to break the bank to see Swift on stage.

Fans flocked to buy second-hand tickets at as much as a 4,000% markup.

CONSTANCE: Sounds about right! Even when last-minute ticket prices surged by 34% year over year, an additional $138.50 per ticket, all shows were sold out (Berthiaume, 2024). Demand stayed incredibly strong, so much so that fans flocked to buy second-hand tickets at as much as a 4,000% markup (Kaplan, 2023)!

DEVIN: You know, this really shows how human irrationality can triumph over economic concepts. Technically, we should have been deterred by these insane price increases, but instead, we continue to buy.

CONSTANCE: That's right! The feeling of experiencing that "once-in-a-lifetime event" can be just as important a factor for buyers as prices are. When it came to seeing Swift live, fans became consumed by the fear of missing out, or FOMO, as the kids say.

DEVIN: That reminds me, Hans...next time Swift tours, we HAVE to get tickets as soon as they drop! No more buying second-hand at inflated prices.

HANS: Ha-ha! Fine, fine! Merch, too!

DEVIN: [*Laughing*] To everyone listening, just know that Hans

[2] We used data from *Business Insider*, determining the percentage change in ticket price comparing Taylor Swift's 2018 *Reputation Tour* to her *Eras Tour*. The percentage change in quantity demanded was calculated using statistics taken from data that Swift's team gave the *New York Times* and data reported by *Forbes*. We determined the price elasticity of demand by applying the standard elasticity formula, comparing the percentage change in quantity demanded to the percentage change in price.



A young man sells t-shirts and hats as fans make their way to Nissan Stadium.

(Photo by Seth Herald/ Getty Images)

has been wearing an oversized *Eras Tour* hoodie while recording. It's his prized possession.

HANS: All right, now, before we head out, let's do a quick recap. Today on *Artonomics*, we have shown that Constance Goldman, the *Eras Tour* team, and Taylor Swift have boosted the economy greatly, with the term "Swift Lift" earning its title as a true macroeconomic mover!

DEVIN: Exactly. The numbers directly support Alfred Marshall's theories. Our elasticity calculation of 0.108 proves that demand for *Eras Tour* tickets is highly inelastic, meaning fans were not discouraged by increasing prices.

HANS: That connects to consumer surplus because fans valued the experience far above what they paid, explaining why so many fans would attend another concert!

DEVIN: Additionally, our multiplier shows how a single dollar in *Eras Tour* spending trickles through the U.S. economy, creating financial ripples.

HANS: So each time you see your favorite artist performing live, know that your money isn't just funding the show. It's creating economic prosperity nearly everywhere!

DEVIN: On that note, we're going to "Shake It Off" and wrap up this episode of *Artonomics*. As the live music industry continues to grow, the economic forces behind the "Swift Lift" are not unique to the *Eras Tour*. Bad Bunny's world tours, the explosion of K-pop concerts, and even smaller artists selling out shows all display the derived demand, consumer surplus, and inelasticity we discussed today. The economics behind the "Swift Lift" are universal.

HANS: Ms. Goldman and Mr. Marshall, thank you so much for being on the podcast; it truly was an honor to have you on.

CONSTANCE: The pleasure was all mine. It was great meeting you guys!

MARSHALL: Same here, hearing my concepts applied to a musical phenomenon of this magnitude was quite the "Change," but very much appreciated.

HANS: Make sure to tune in next week for our episode on music streaming wars: Spotify versus Apple Music! We'll see you there.

[*Outro music*]

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